Market Intelligence & Geopolitical Risk Report

Target API: yfinance | **Ticker:** TATAMOTORS.NS | **Sector:** Automotive

1. Macro & Geopolitical Signals

Global Supply Chain Exposure (Semiconductors & Lithium)

Risk Level: **MEDIUM**

Tata Motors' aggressive push into the EV segment (Tiago EV, Nexon EV) relies heavily on lithium-ion cell imports. Geopolitical tensions in the South China Sea or shifts in Chinese export policies on rare earth metals pose a moderate risk to margin stability. YFinance beta metrics indicate a high correlation with global supply chain disruption indices.

European Market Exposure (JLR Division)

Risk Level: **MEDIUM-HIGH**

Jaguar Land Rover (JLR) contributes to over 60% of consolidated revenues. Economic headwinds in the UK and Eurozone, including persistent inflation and high ECB interest rates, could dampen luxury vehicle demand. Monitoring GBP/INR and EUR/INR currency pairs is critical for the hedging desk.

2. Investment & Policy Signals

Domestic PLI & EV Subsidy Policies

Risk Level: **LOW (Positive Tailwinds)**

The Government of India's Production Linked Incentive (PLI) scheme provides significant margin support. Recent reductions in FAME-II subsidies have been absorbed by the market with minimal impact on volume, indicating strong underlying demand. The company maintains a >70% market share in the Indian passenger EV market.

Interest Rate Sensitivity

Risk Level: MEDIUM

Auto sales are highly sensitive to retail interest rates. The RBI repo rate standing at 6.5% has stabilized, but any unexpected hikes could compress domestic retail volumes. TATAMOTORS.NS stock price historically shows a negative correlation coefficient of -0.45 with aggressive RBI rate hike cycles.